MummyTKT's Bias Pointer

Strategy Rulebook

Every rule the platform uses to find a directional bias, confirm it and alert you — in plain words, with a picture for each.

Version: 19 October 2026 · matches the Bias Pointer script with Daily market structure (most recent External high / low), exact-level, bias-side H4 rejections (19 Oct 2026) and Entry Confirmations commit 882609e
This rulebook is the source of truth. When a rule changes, this document and the TradingView scripts change together.

How to read each rule

Each rule has a plain-words description, the exact condition for a **Buy** (bullish) and a **Sell** (bearish) setup side by side, a picture, and notes. Pictures show the buy side; the sell side is the mirror image. Green candles are up, red are down, dashed lines are levels, and blue bands are zones.

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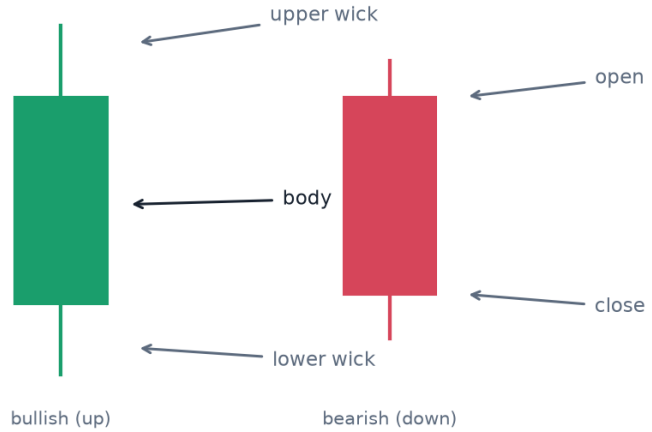
Glossary

A. CANDLE BASICS

Rule 1 — Bullish and bearish candles

A candle is **bullish** (up) when it closes at or above its open, and **bearish** (down) when it closes below its open. The **body** runs between open and close; the **wicks** are the high and low beyond the body.

Buy (bullish)	Sell (bearish)
Close ≥ open	Close < open

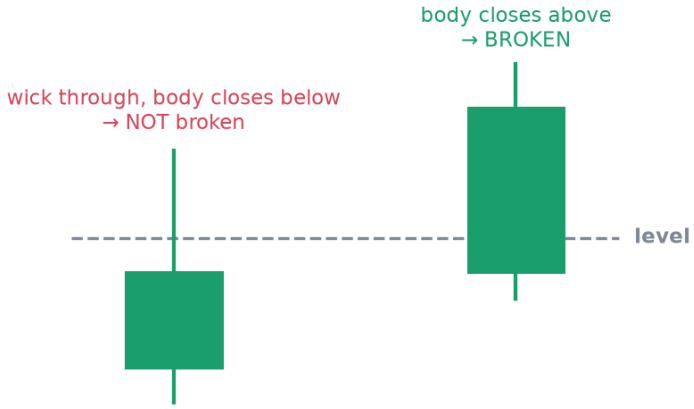


H4 levels and the entry patterns use candle **bodies**. Daily structure levels (the External high and low, D.A and D.V) use **wicks**.

Rule 2 — Closes, not wicks

A level is only broken when a candle **body closes** beyond it. A wick that pokes through and closes back never counts as a break.

Buy (bullish)	Sell (bearish)
Broken when a candle closes above the level	Broken when a candle closes below the level



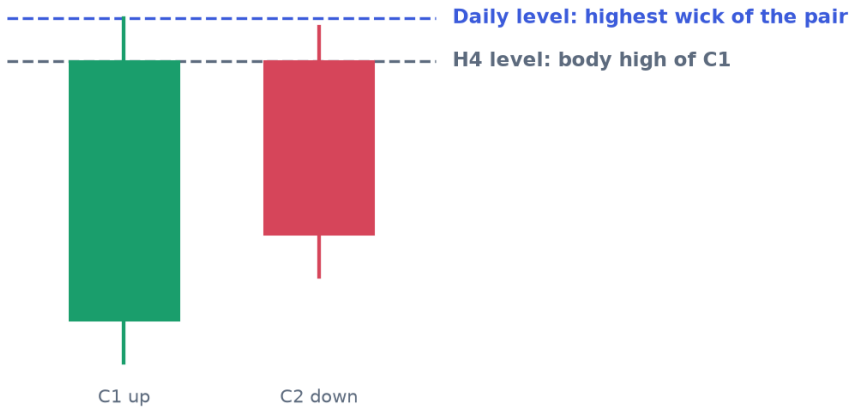
Confirmations are judged on **closed** candles only. A candle still forming can react, but it can't confirm.

B. FORMATIONS (DAILY AND H4)

Rule 3 — A-shape — resistance

An up candle followed immediately by a down candle. On **H4** the level is the **body high of the up candle**. On the **Daily** it is the **highest wick** of the two candles.

Buy (bullish)	Sell (bearish)
Broken upward when a candle closes above it	In a sell bias the latest Daily one is shown as D.A

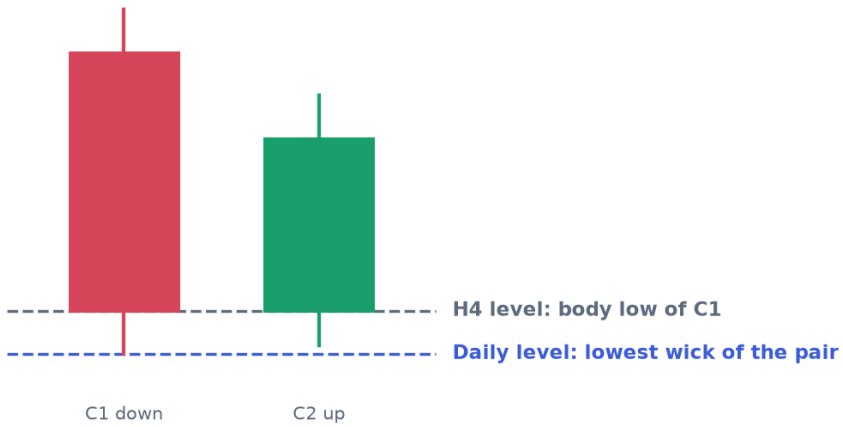


The level exists once the down candle has closed. The most recent A-shape is the one that counts.

Rule 4 — V-shape — support

A down candle followed immediately by an up candle. On **H4** the level is the **body low of the down candle**. On the **Daily** it is the **lowest wick** of the two candles.

Buy (bullish)	Sell (bearish)
In a buy bias the latest Daily one is shown as D.V	Broken downward when a candle closes below it

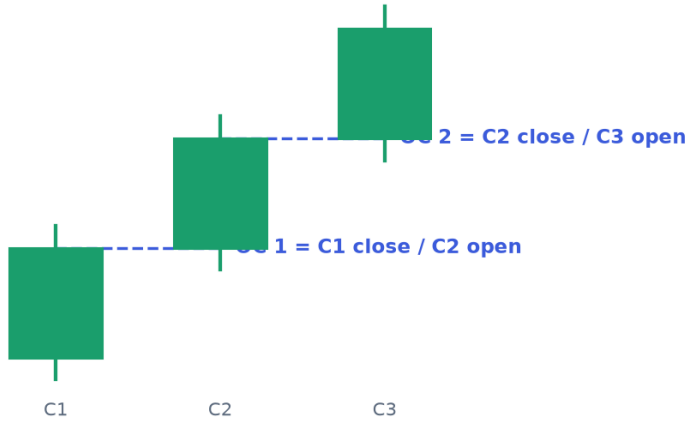


The level exists once the up candle has closed. The most recent V-shape is the one that counts.

Rule 5 — OC — Open/Close level

Two candles in a row in the same direction. The OC level is where the **first candle closed and the second opened**.

Buy (bullish)	Sell (bearish)
Two up candles in a row	Two down candles in a row



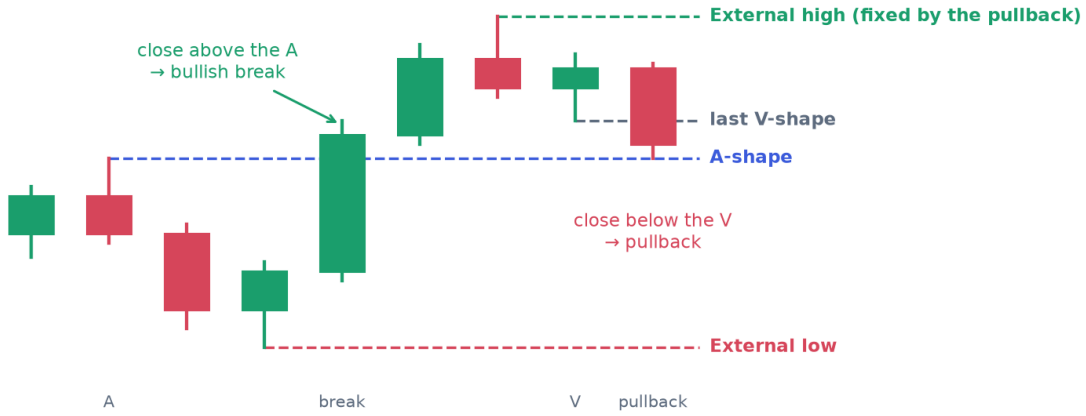
A run of three same-direction candles makes two OC levels (C1/C2 and C2/C3).

C. DAILY BIAS

Rule 6 — External high and low

The **external low** is the lowest point between a Daily A-shape and the Daily candle that **closes above that A-shape's wick** (the external high is the mirror). The side in the direction of the move **keeps following price** (“still forming”) until price pulls back by closing beyond the last A/V-shape it came from; then it is fixed.

Buy (bullish)	Sell (bearish)
Bullish: the external low is fixed; the external high follows new highs until a Daily close below the last V-shape	Bearish: the external high is fixed; the external low follows new lows until a Daily close above the last A-shape

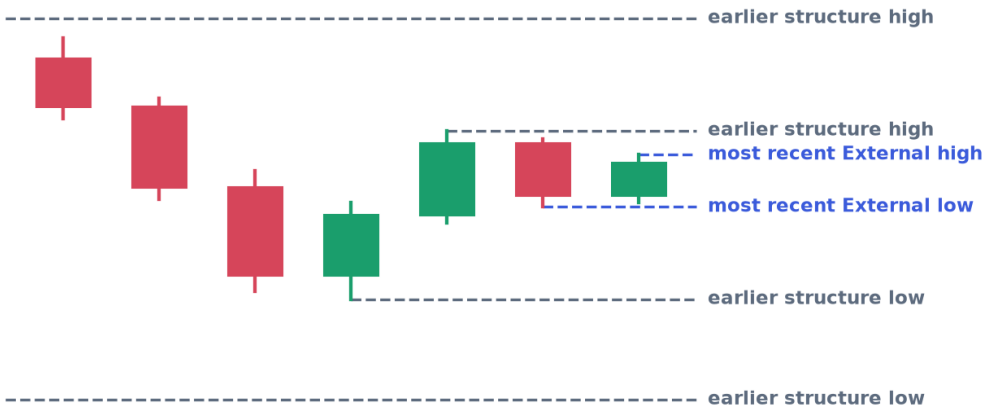


A Daily close beyond the fixed level makes a new pair in the same direction. A close beyond the other level flips the direction.

Rule 7 — Structures inside the range

While price is inside the current range, a **new structure can form inside it** by the same rules — a swing only counts once a later candle has traded beyond the candle that formed the A/V-shape (below the A's down candle, above the V's up candle) before the break. The new one becomes the **most recent External high and low**. This can repeat at any depth.

Buy (bullish)	Sell (bearish)
When the most recent structure breaks, every structure inside it is dropped and the one around it counts again	The Bias Pointer draws only the most recent pair, e.g. “Bullish External low” or “Bearish External low (still forming)”

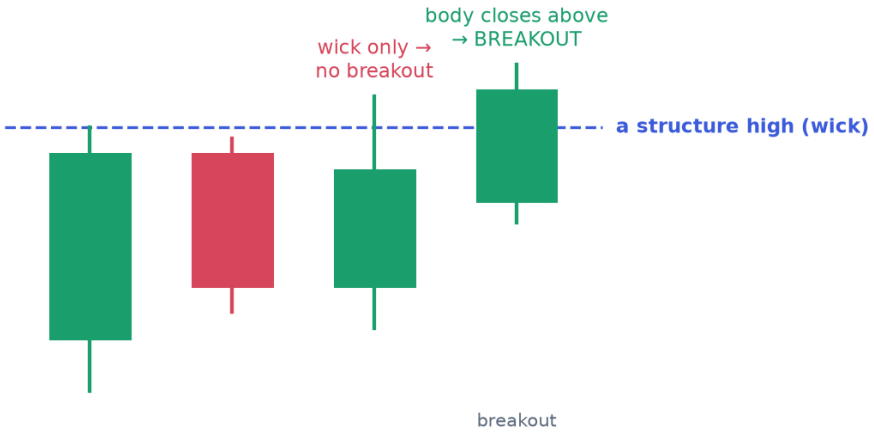


A close beyond an older, wider level is also beyond every newer one inside it, so the most recent pair is always the first to break.

Rule 8 — Daily breakout

A Daily candle **body closes beyond the most recent External high or low**. No tolerance is used for this. The **most recent break on any layer** sets the direction of the bias, and the level it broke is the Daily Breaker.

Buy (bullish)	Sell (bearish)
Daily close above the most recent External high	Daily close below the most recent External low

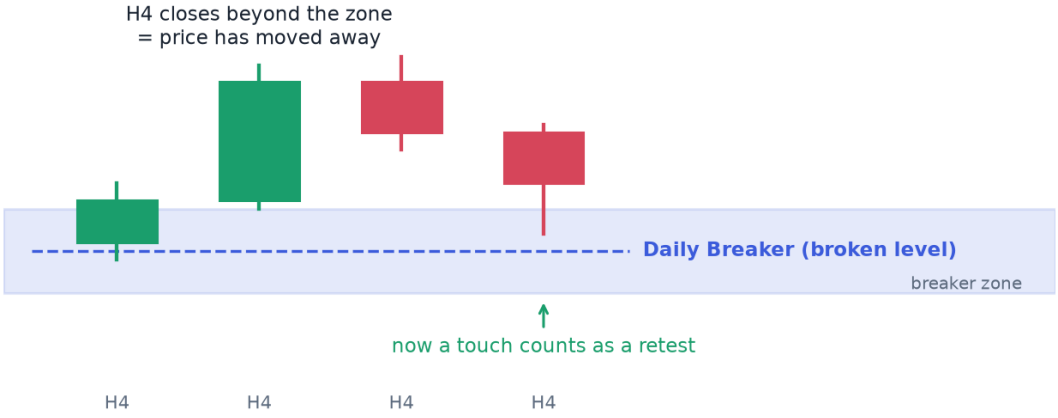


A wick through a level is not a break. The breakout alone is not a trade signal — it starts the setup. A wick through a level is not a break. The breakout alone is not a trade signal — it starts the setup.

Rule 9 — The Daily Breaker and moving away first

The broken level becomes the **Daily Breaker**: former resistance becomes support (or the reverse). Its zone is the level ± 5 pips. Before any retest counts, an H4 candle must first **close beyond the zone** — proving price moved away.

Buy (bullish)	Sell (bearish)
An H4 close above the breaker zone, then a later dip back into it	An H4 close below the breaker zone, then a later rise back into it



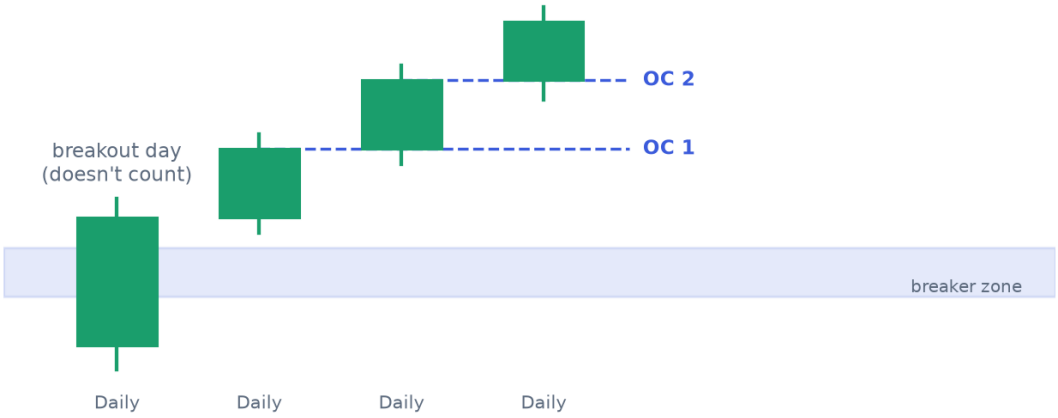
This stops a breakout that is still sitting on its level from counting as a retest straight away.

D. REACTION ZONES (UNTIL THE ORIGIN)

Rule 10 — Post-breakout Daily OC

After the breakout day, Daily candles that keep closing in the breakout direction, beyond the breakout level, form OCs. **Every completed OC** is watched until an opposing breakout.

Buy (bullish)	Sell (bearish)
Two up Daily candles in a row, both closing above the breakout level	Two down Daily candles in a row, both closing below the breakout level

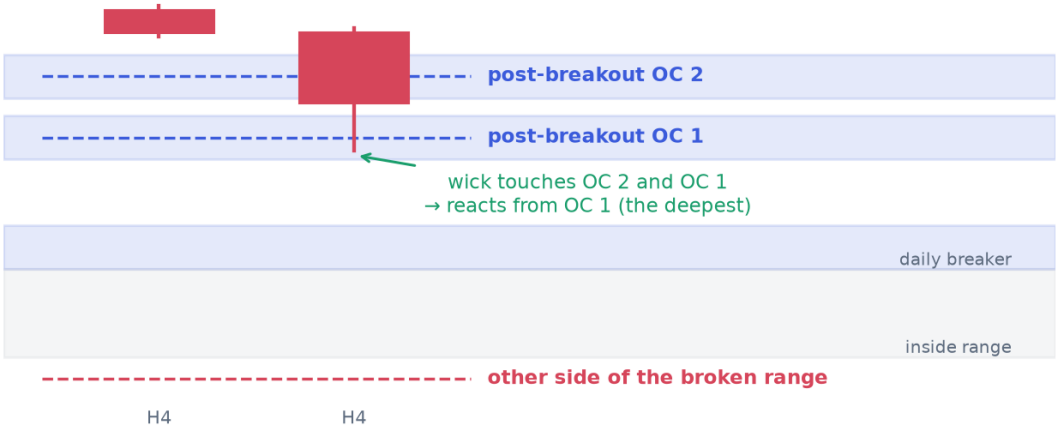


The breakout candle itself doesn't count as candle 1. An OC must sit clear of the breaker zone (beyond ± 5 pips). The chart label shows the newest one, e.g. “D.OC 10704.99 (3 watched)”.

Rule 11 — What counts as a reaction

An H4 candle reacts from a zone when its **wick reaches the level exactly** (a near miss doesn't count) and its close doesn't go through it. Zones are checked in this order:

Buy (bullish)	Sell (bearish)
1) the deepest post-breakout OC touched · 2) the Daily Breaker · 3) a Daily V-shape or Daily bullish OC level inside the range that was just broken	1) the highest post-breakout OC touched · 2) the Daily Breaker · 3) a Daily A-shape or Daily bearish OC level inside the range that was just broken

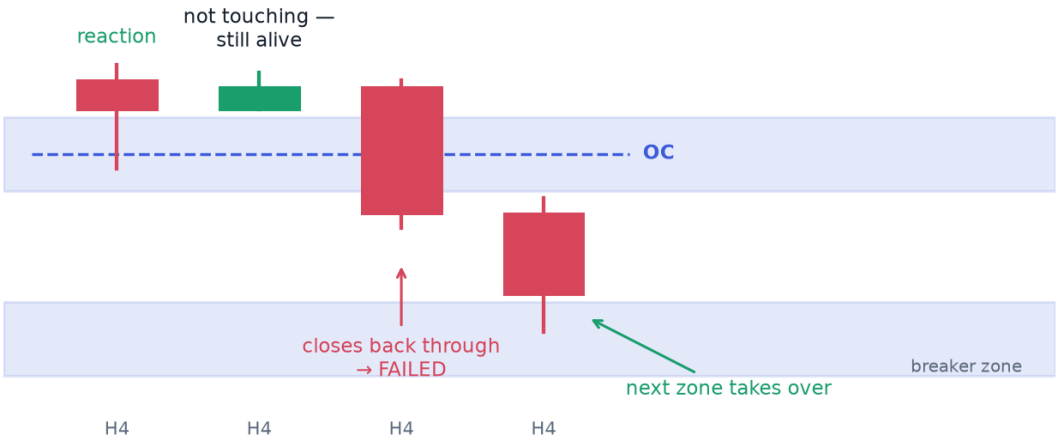


The reaction is reported with its source and level: Post-Breakout OC, Daily Breaker, or the Daily V/A-shape or OC inside the range. Simply being back inside the range is not a reaction. It doesn't matter which zone price reaches first. A Daily level is dead once a Daily candle closes through it (below a buy level, above a sell level) and never counts again.

Rule 12 — A reaction stays alive until it fails

Once price has reacted, the reaction stays valid on **later candles**. It only **fails** when an H4 candle closes back through the zone on the wrong side. Then the next zone price reaches takes over.

Buy (bullish)	Sell (bearish)
Fails on an H4 close below the zone (the level − 5 pips, or the breaker zone)	Fails on an H4 close above the zone (the level + 5 pips, or the breaker zone)



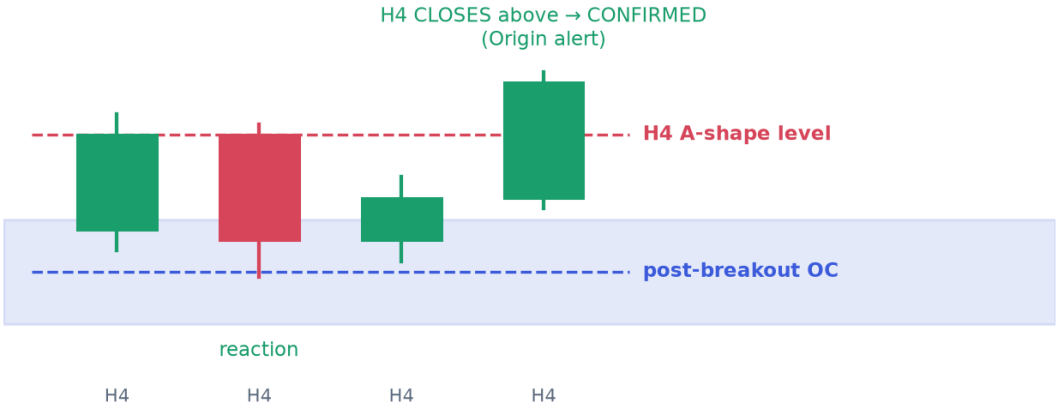
A candle that simply doesn't touch the zone any more does NOT cancel the reaction.

E. H4 CONFIRMATION

Rule 13 — The Origin alert

While a reaction is alive, an H4 candle **closes beyond the most recent H4 A-shape** (buy) or **V-shape** (sell). It can be **any later candle**, not only the one that reacted. The first confirmation of a Daily breakout is the **Origin**.

Buy (bullish)	Sell (bearish)
H4 close above the most recent H4 A-shape level	H4 close below the most recent H4 V-shape level

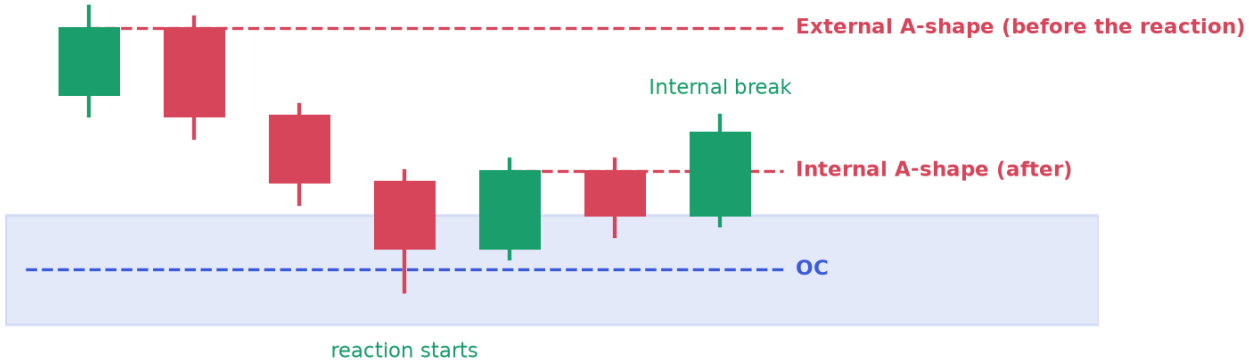


The candle that forms an A/V-shape can't also break it. The alert names the reaction source and the H4 level broken.

Rule 14 — External and internal breaks

The script always uses the most recent H4 A/V-shape. It is **External** if it formed **before** price first reacted at the Daily level that confirms, and **Internal** if it formed **after**. If a reaction fails and price comes back to the **same** level, the first reaction there still counts as the start; a reaction at a **different** Daily level starts fresh.

Buy (bullish)	Sell (bearish)
External: the last A-shape before price reached the Daily zone · Internal: a new A-shape formed during the reaction	External: the last V-shape before price reached the Daily zone · Internal: a new V-shape formed during the reaction



Each subscriber chooses in Preferences whether External and/or Internal Origins reach their Telegram.

F. CONTINUATIONS (AFTER THE ORIGIN)

Rule 15 — One Origin per Daily breakout

After the Origin fires, later reactions from Daily zones do **not** create new Origins. Further H4 breaks in the same direction are **continuation** alerts, until the next Daily breakout.

Buy (bullish)	Sell (bearish)
Continuations keep firing in the buy direction	Continuations keep firing in the sell direction

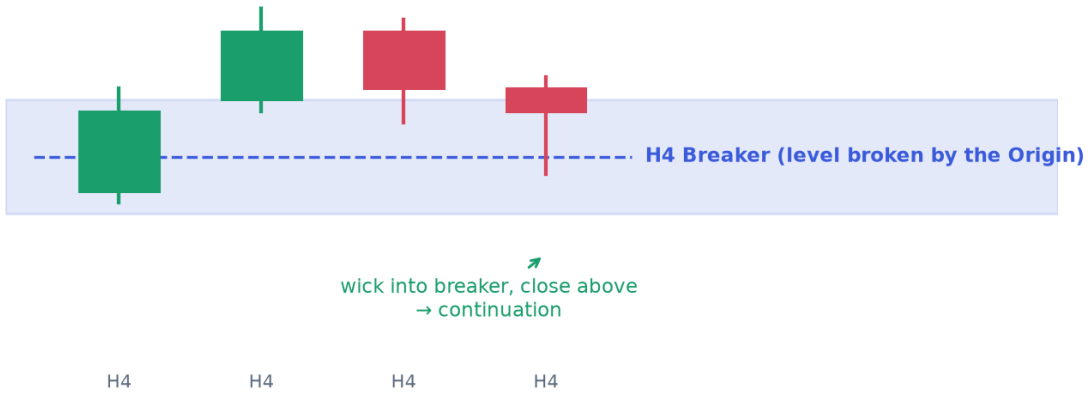


Continuation alerts always reach subscribers, whatever their External/Internal preference.

Rule 16 — H4 Breaker retest

The H4 level broken by the Origin becomes the **H4 Breaker**. When a later H4 candle **wicks exactly onto it and closes beyond it** in the bias direction, a continuation fires.

Buy (bullish)	Sell (bearish)
Candle opens at/above the H4 breaker, wicks into it, closes above it	Candle opens at/below the H4 breaker, wicks into it, closes below it

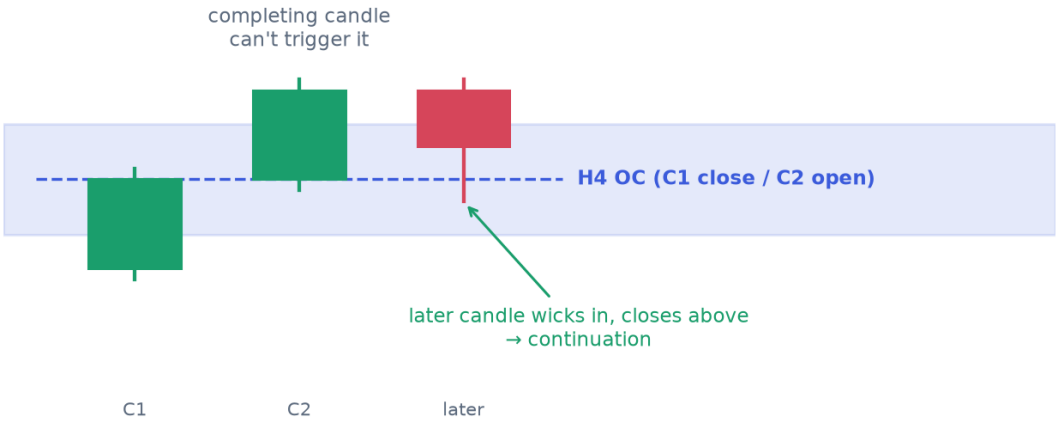


The first one is labelled “Breaker origin”, later ones “Breaker continuation”. Each visit alerts once; price must leave the zone before the next.

Rule 17 — H4 OC continuation

Two H4 candles in a row in the bias direction form an **H4 OC**. After each H4 breakout in the bias direction, **every OC of that breakout's leg** (from its swing low, or swing high for sells) and every OC formed after it is watched. When a **later** H4 candle wicks exactly onto one and closes beyond it, a continuation fires and that OC is used up.

Buy (bullish)	Sell (bearish)
Candle opens at/above the H4 OC, wicks into it, closes above it	Candle opens at/below the H4 OC, wicks into it, closes below it

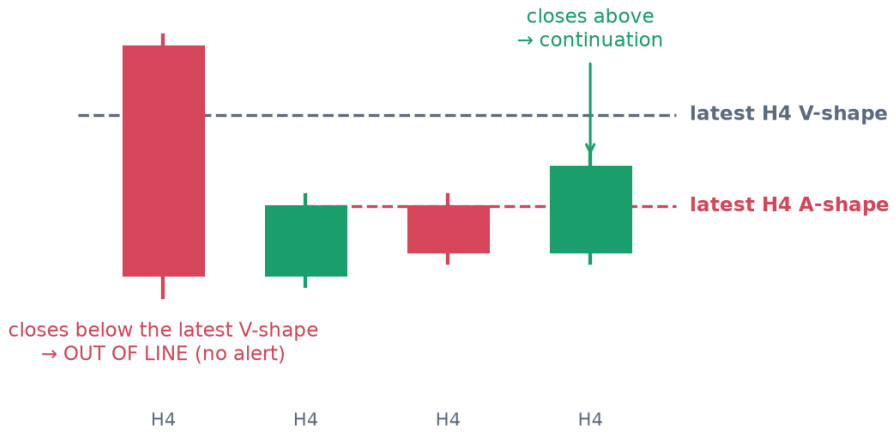


The candle that completes the OC can't trigger it, and a candle climbing up through it from below (falling through it from above, for sells) is not a rejection. If one candle rejects several OCs, one alert names the furthest and all of them are used up. An OC closed through against the bias is dropped. A newer H4 breakout keeps only its own leg's OCs; an H4 break the other way or a new Daily breakout drops them all.

Rule 18 — Breakout continuation after a pullback

If an H4 candle closes against the bias beyond the **latest** H4 V-shape (buy) or A-shape (sell), H4 is **out of line** (the chart label says OUT OF LINE) and every H4 OC is dropped. To come back in line, price must first **react at a Daily level again** (the Daily Breaker, a Daily V/A-shape or OC inside the range, or a post-breakout Daily OC — same rules as before the Origin). Then an H4 close beyond the latest H4 A/V-shape in the bias direction fires the continuation, naming that Daily level, and OC tracking starts fresh.

Buy (bullish)	Sell (bearish)
Out of line on a close below the latest H4 V-shape; back in after a Daily reaction plus a close above the latest H4 A-shape	Out of line on a close above the latest H4 A-shape; back in after a Daily reaction plus a close below the latest H4 V-shape



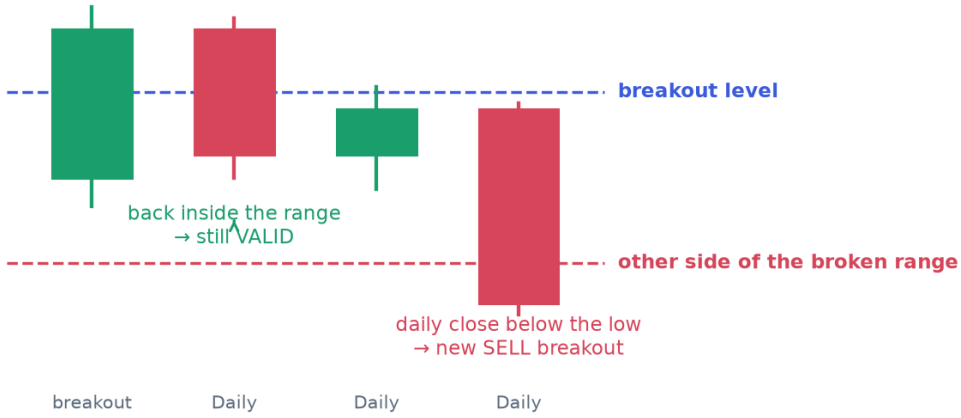
Going out of line sends no alert. While out of line no H4 OC or H4 Breaker alerts fire, and the dashboard shows the pair as OUT OF LINE.

G. A NEW BREAKOUT

Rule 19 — When the setup changes

Pulling back into the range is not a cancellation — that's where reactions happen. The setup only changes at the **next Daily breakout** on any layer, in either direction.

Buy (bullish)	Sell (bearish)
A Daily close below the other side of the broken range (or any lower low) starts a sell setup	A Daily close above the other side of the broken range (or any higher high) starts a buy setup



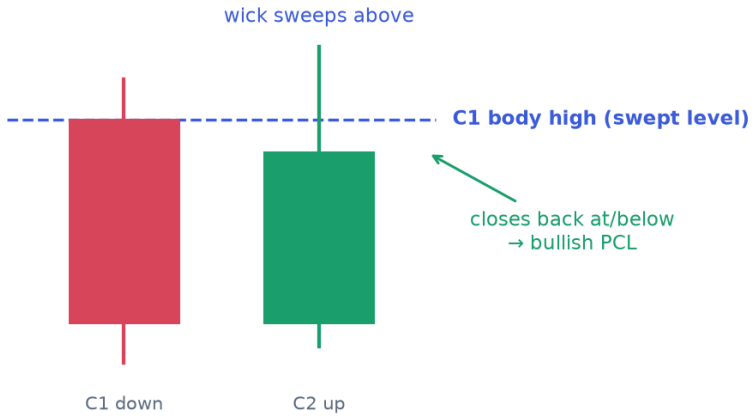
There is no separate invalidation any more: the next break replaces the setup.

H. ENTRY PATTERNS (H1 / H2)

Rule 20 — PCL — sweep that holds

A two-candle pattern measured on the previous candle's **body edge**. The new candle's wick sweeps past it, but its body closes back inside.

Buy (bullish)	Sell (bearish)
Down candle, then up candle: its high goes above C1's body high, and it closes at or below that body high	Up candle, then down candle: its low goes below C1's body low, and it closes at or above that body low

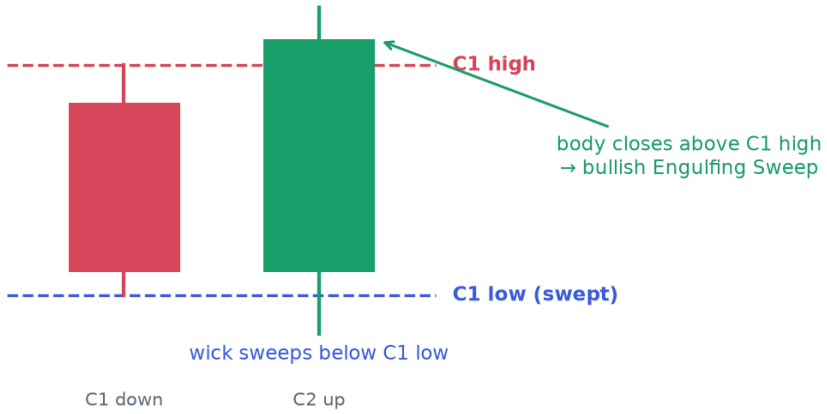


The two candles must be opposite colours. Fires on candle close.

Rule 21 — Engulfing Sweep — full engulf

Measured on the previous candle's **full high and low**. The new candle's wick sweeps one extreme, and its body closes beyond the other.

Buy (bullish)	Sell (bearish)
Down candle, then up candle: wick below C1's low, body closes above C1's high	Up candle, then down candle: wick above C1's high, body closes below C1's low

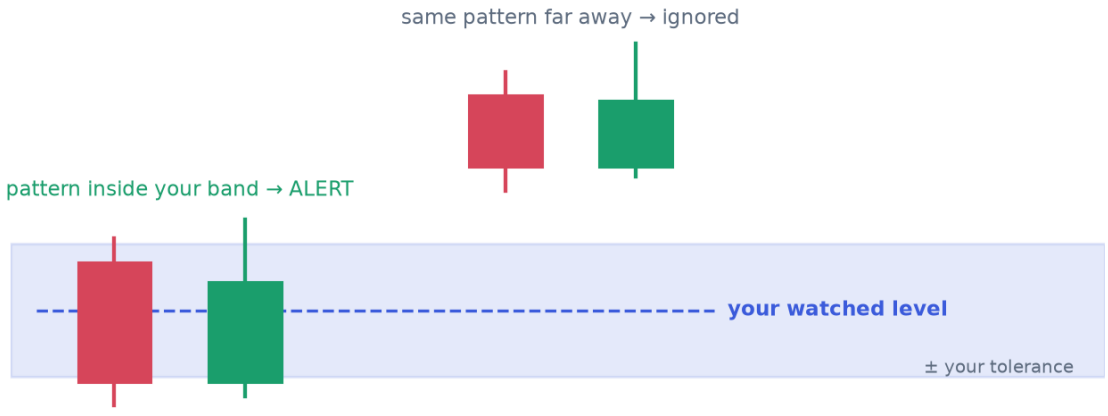


The two candles must be opposite colours. Fires on candle close.

Rule 22 — When an entry alert fires

Entry patterns only alert at a level **you chose** in Price Alerts → Entry Pattern Alerts: same direction, and the pattern's close within your tolerance (default 20 pips). The alert fires once, then closes.

Buy (bullish)	Sell (bearish)
Set a Buy entry alert at your level	Set a Sell entry alert at your level



Entry alerts don't check the bias state — you decide when and where to watch.

I. TIMING AND DELIVERY

Rule 23 — When alerts arrive

Everything is judged at **candle close**. H4 candles on forex.com close at 2am, 6am, 10am, 2pm, 6pm and 10pm (Nigeria time); alerts arrive within moments of the close.

Buy (bullish)	Sell (bearish)
Forex and metals: Sunday 10pm to Friday 10pm (Nigeria time)	Crypto: around the clock

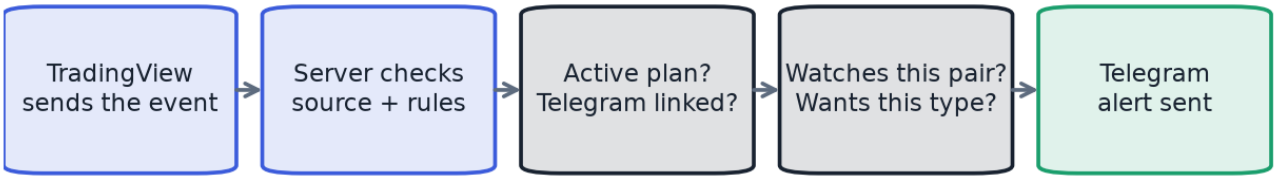


When US clocks change in November, all these times move one hour later.

Rule 24 — Who receives an alert

An alert reaches a member only if their plan is active, their Telegram is linked, they follow that pair (Settings → My Instruments), and — for Origins — they allow that type (External / Internal).

Buy (bullish)	Sell (bearish)
Buy and Sell alerts follow the same rules	Continuations always go out, whatever the type setting



Members without Telegram linked still see every alert on the dashboard and in History.

Glossary

Bias	The direction (buy or sell) the Daily breakout sets.
Breakout	A Daily candle body closing beyond the most recent External high (buy) or low (sell).
External high / low (Daily)	The most recent structure's high and low. Smaller structures can form inside the range at any depth; the newest one counts.
Daily Breaker	The broken level, now acting as support (buy) or resistance (sell).
OC	Open/Close level: where the first of two same-direction candles closed and the second opened.
Reaction / Retest	An H4 candle's wick entering a Daily zone without closing through it.
Origin	The first H4 confirmation of a Daily breakout. One per breakout.
Continuation	Every later H4 confirmation in the same direction, until the next Daily breakout.
H4 External / Internal	Whether the H4 A/V-shape that broke formed before or after the reaction began.
Tolerance	The ± band (default 5 pips) used for moving away from the breaker and for a reaction failing; touches must be exact. Entry alerts use 20 pips.
Next breakout	Any later Daily break replaces the setup; a break the other way flips the bias.

Directional bias only — not financial advice. Alerts describe market direction; entries, risk and exits are your decision.